X-CHANGE BANKING PROGRAM GUIDE

# Philippine Veterans Bank

## Digital Banking Program Guide

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# Contents


| | | |
|---|---|---|
| F | Foreword | 3 |
| ES | Executive Summary | 4 |
| 1 | Why This Program? | 6 |
| 2 | What Is the Program? | 7 |
| 3 | Why Might This Matter to Philippine Veterans Bank? | 9 |
| 4 | How Does the Program Work? | 10 |
| 5 | Banking in Action | 12 |
| 6 | The Institutional Case | 14 |
| 7 | Launching the Program | 16 |

ANNEXES

| | | |
|---|---|---|
| A | Canonical Operating Model | 18 |
| B | Banking Ceremonies | 21 |
| C | Institution Integration Architecture | 25 |
| D | Governance Principles | 26 |
| E | Treasury and Settlement Grammar | 28 |
| F | Institutional Readiness Framework | 30 |
| G | Glossary | 32 |
| H | Applying This Program Guide to PVB | 33 |

PHILIPPINE VETERANS BANK EDITION

# Foreword

Philippine Veterans Bank has served the Philippine market through a distinctive institutional mandate for more than six decades. Today, it operates as a private commercial bank, a statutory veterans institution, and an official government depository.

Its banking proposition already extends across deposits, consumer and commercial lending, government and institutional banking, payroll and pension accounts, Treasury, trust, collections, public assistance, digital banking, payment gateways, kiosks, cards, and other public-sector relationships.

This is therefore not a guide to becoming digital for the first time.

It considers a different institutional question: whether one reusable governed operating capability beneath PVB's existing channels, products, payment connectivity, public-finance relationships, and banking authority could support additional services without requiring their operating foundations to be rebuilt independently.

This approach does not replace PVB's authority, channels, systems, providers, government relationships, or settlement arrangements. It begins with them. PVB remains the bank, the government depository, and the production authority throughout.

The question invites an executive conversation about an enduring operating capability within PVB's institutional context—without proposing a deployment or assuming PVB approval or operational readiness.

BOARD BRIEFING

# Executive Summary

Philippine Veterans Bank has already established meaningful digital and public-finance capability. Its services span retail and institutional digital banking, electronic transfers, bill payment, payroll and pension relationships, collections, gateways, kiosks, government financing, public assistance, Treasury, cards, and other banking relationships.

The question is not whether PVB should become digital. It is whether the institution can organize more of its public-finance responsibilities through one reusable governed operating foundation.

Settlement connectivity is necessary, but it is not a banking service. A rail can move funds and a technical connection can carry an instruction. Neither defines the public purpose, establishes authority, applies policy, recognizes and reserves resources, gathers evidence, manages exceptions, communicates status, or reconciles the completed service. Those remain responsibilities of the government entity and the bank.

The Program is the institution-specific initiative through which PVB would evaluate and, if approved, establish that foundation. The enduring result is the Capability: a maintained operating foundation through which properly authorized public-finance instructions become observable, executable, evidentiary, and reconcilable banking activity.

PVB remains the protagonist. It retains its banking authority, products, government and customer relationships, accounts, custody, channels, infrastructure, data, policies, credentials, production authority, and settlement relationships. x-change supplies the operating grammar beneath those arrangements. PVB-specific integration would connect that grammar to the institution's approved execution capability.

> The government entity brings lawful purpose and instruction. PVB brings banking authority and the approved rails. x-change brings the operating grammar. Institution-specific integration connects them.

That integration is institution-specific, not an automatically available connection. It would require institutional discovery, mapping, implementation, validation, and continuing maintenance. Technical validation would establish agreed behavior under tested conditions. It would not establish operational readiness. Readiness would remain a PVB judgment based on the complete public-finance ceremony.

Bounded public-assistance disbursement makes the model visible. The responsible public institution defines the purpose, authority, approved participants, funding basis, conditions, and expected evidence. PVB recognizes the supporting resources, applies banking controls, reserves the required capacity, defines the service, supports the approved credential, coordinates execution through its settlement arrangements, preserves evidence, and reconciles the result.

> The public institution authorized an outcome. Philippine Veterans Bank arranged its accountable execution.

The same foundation could support services already relevant to PVB. Public collections connect payer information with attribution and reconciliation. Veterans' benefits and government or military payroll connect continuing institutional authority with recurring relationships. Treasury and GOCC services may require governed execution against purpose and evidence. Their public authority, participants, policies, and service journeys differ. The operating grammar remains stable.

The proposed sequence begins with bounded public-assistance disbursement as the primary discovery candidate, followed by public collections. Veterans' benefits and government or military payroll remain strategic later candidates. Treasury and GOCC services remain for later evaluation, while procurement settlement remains deferred until direct institutional evidence supports it. The suitability and design of each ceremony can be determined only with PVB.

If PVB considers the question relevant, the next step would be neither implementation nor commitment, but a structured executive discussion: whether the Capability merits formal evaluation, whether one bounded public-assistance ceremony should illuminate it, and what evidence PVB would require before considering controlled production.

SECTION 1

# Why This Program?

EXECUTIVE QUESTION

**Why might this Program merit Philippine Veterans Bank's consideration?**

KEY MESSAGE

**PVB already has authority, relationships, channels, digital services, and public-finance relevance. The opportunity is to determine whether one governed operating foundation could support more banking responsibilities over time.**

EXECUTIVE DECISION

**I understand the institutional question and can decide whether a reusable governed operating capability merits formal evaluation.**

PVB's history, veterans purpose, government-depository position, public-sector relationships, and regulated authority are institutional assets. Modernization should strengthen them rather than replace them.

The institution already serves veterans, pensioners, military personnel, households, employers, businesses, local governments, national government agencies, government corporations, and other public institutions through physical and digital channels. Its visible services include payroll and pensions, collections, public assistance, government financing, Treasury, gateways, kiosks, and commercial banking.

A bank can accumulate functioning channels and integrations without acquiring one reusable operating foundation beneath them. Each new public-finance service may bring a different financial-state model, approval process, provider integration, evidence requirement, exception path, and reconciliation practice.

That pattern creates repeated work. It can also make institutional responsibility harder to observe across programs and channels. A participant sees an assistance credit, pension payment, payroll release, collection reference, or government transaction. PVB must see the complete obligation: public purpose, authority, funds, conditions, evidence, execution, exceptions, support, and reconciliation.

This initiative addresses that operating question. It does not confer government-depository authority, create public relationships, guarantee selection, or supply settlement access. It organizes authority and connectivity that PVB already possesses or establishes through approved relationships.

The timing should remain disciplined. PVB is modernizing while managing financial, regulatory, operating, and strategic priorities. A reusable foundation allows the institution to begin with one bounded question rather than an expansive implementation commitment.

The opportunity is not technology for its own sake. It is to preserve PVB's institutional choice while reducing repeated operating and engineering work.

One foundation would not make every PVB service alike. It would give the bank a consistent way to govern their differences. The next question is what PVB would establish through the Program.

SECTION 2

# What Is the Program?

EXECUTIVE QUESTION

**What exactly would Philippine Veterans Bank be invited to establish?**

KEY MESSAGE

**The Program is a PVB-specific modernization initiative. Its intended result is a maintained operating Capability under PVB's authority and control.**

EXECUTIVE DECISION

**I understand the Program, the Capability it is intended to establish, the participating roles, and the boundaries that remain subject to PVB and public authority.**

The Government Depository Digital Banking Program brings together licensed x-change software, institution-specific integration, controlled deployment, observability, testing, documentation, maintenance, public-program governance, and banking operating discipline. The resulting capability coordinates the progression from lawful purpose and recognized resources to conditions, credential, execution, evidence, and reconciliation.

The Program is the initiative. The Capability is the enduring operational result. The terms are not interchangeable. The Program can be evaluated, approved, governed, implemented, and reviewed. The Capability is what PVB would continue to operate and evolve.

PVB would be the program sponsor, banking authority, and production authority. Its Board and Management would establish purpose, risk appetite, scope, accountability, and approval boundaries. Business, Operations, Treasury, Technology, Risk, Compliance, Legal, Information Security, Internal Audit, Finance, and other responsible functions would continue to perform their established roles.

The responsible government entity would retain public-program authority, participant basis, funding authority, approvals, conditions, reporting, and public accountability. The Program would not transfer those responsibilities to PVB or to a technology provider.

The licensed technology provider would maintain x-change, supported components, documentation, reference architecture, testing capability, and agreed institution-specific integration. The provider would not become the bank, government entity, custodian, settlement institution, auditor, or production authority.

A DevOps or managed-service provider may perform delegated provisioning, deployment, monitoring, backup, recovery, release support, and incident-response work. The provider would act within PVB's approved environment and delegated authority. It would not own the environment, data, credentials, provider relationships, or release decision.

PVB's settlement institutions and payment providers would continue to perform supported financial movement under their agreements with the bank. The initiative does not prescribe an exclusive settlement institution. PVB would own or establish the relevant accounts, participation, credentials, limits, and execution authority.

The precise operating model supporting PVB's current services is naturally unique to the institution. Any Program design would therefore begin with PVB's approved architecture, public responsibilities, and provider relationships rather than assume a generic deployment.

Common software would not create a common bank. It would provide a maintained operating foundation within PVB's own institutional boundaries.

Governance follows responsibility. The public institution would authorize public purpose. The Board would authorize institutional purpose. Management would own implementation and operating accountability. Responsible functions would validate the complete service. Providers would supply only the capabilities assigned to them. Production could begin only through the required public and PVB approval processes.

The initiative should be judged by whether it establishes the Capability under institutional control—not by the quantity of software installed. Its value begins with what that foundation enables PVB to do.

SECTION 3

# Why Might This Matter to Philippine Veterans Bank?

EXECUTIVE QUESTION

**What institutional value could this Capability offer Philippine Veterans Bank?**

KEY MESSAGE

**PVB could gain a reusable governed foundation through which it may introduce and evolve selected public-finance services while preserving its authority, relationships, identity, and operating sovereignty.**

EXECUTIVE DECISION

**I understand the prospective institutional benefit and can decide whether further evaluation is warranted.**

The principal benefit is operating leverage. A maintained grammar for authority, financial state, conditions, credentials, execution, and evidence can reduce the amount of foundational work repeated for each service. PVB would still perform service design, policy, governance, integration review, training, participant treatment, and support. What changes is the starting point.

Existing channels remain valuable. PVB's branches, retail and institutional digital banking, cards, kiosks, gateways, partner journeys, and approved interfaces may initiate, present, or report activity. x-change would coordinate the governed ceremony beneath them. PVB could improve a participant journey without redefining the financial state of the service, and it could add a channel without creating another independent settlement model.

Operating sovereignty would remain intact. PVB would own or control its approved environment, deployment, data, domains, provider accounts, credentials, monitoring, backups, security configuration, releases, and audit trail. It would retain its government, customer, deposit, and direct settlement relationships.

The same foundation could support services with different institutional purposes.

Public assistance can connect authorized government funding with approved participants and evidence. Collections can connect public obligations with payer attribution and reconciliation. Veterans' benefits can connect PVB's statutory purpose with continuing service. Government or military payroll can connect public employers, personnel, deposits, and recurring banking relationships. Treasury and GOCC services can connect approved institutional obligations with financial state, execution, and evidence.

These possibilities are not automatic returns or statements of PVB priority beyond the proposed candidate sequence. They become valuable only when the responsible institutions select relevant services and operate them well. The credible benefit is the capacity to introduce, govern, and evolve services whose institutional and public value PVB has independently established.

This approach also changes where scarce attention is spent. Rather than repeatedly rebuilding common orchestration machinery, PVB can concentrate more management and engineering effort on public purpose, institutional relationships, service judgment, risk appetite, operating quality, and chosen areas of participation.

PVB modernizes without becoming less itself. The operating model preserves its private commercial-bank identity, veterans purpose, and government-depository responsibility by design.

SECTION 4

# How Does the Program Work?

EXECUTIVE QUESTION

**How would the operating model work within Philippine Veterans Bank?**

KEY MESSAGE

**Public authority remains with the government entity, while PVB retains custody and banking authority. x-change coordinates the ceremony, and PVB-specific integration connects it to the institution's approved execution capability.**

EXECUTIVE DECISION

**I understand where authority, funds, software, integration, execution, evidence, and reconciliation would reside.**

The conceptual institutional stack is:

```
Authorized Public Program
↓
PVB Products and Channels
↓
PVB Depository Banking Service
↓
x-change
↓
PVB-Specific Integration
↓
PVB-Approved Execution Capability
↓
PVB-Governed Settlement or Payment Arrangement
↓
Applicable Approved Rail, Provider, or Internal Capability
```

The public program establishes lawful purpose, authority, participant basis, and public obligations. The channel presents an experience. The banking service expresses PVB's policy, terms, controls, and responsibility. x-change coordinates the governed ceremony. PVB-specific integration translates that ceremony into behavior approved by the institution.

No production integration is assumed. Its feasibility and design would depend on discovery of PVB's approved systems, interfaces, credentials, status models, controls, settlement arrangements, evidence, and reconciliation responsibilities.

The operating grammar keeps distinct responsibilities from being mistaken for one another.

A Funding Event records the external financial event through which Settlement Resources enter or become recognized by Treasury. It records institutional recognition; it does not create the underlying value or determine its legal character.

Treasury maintains the operational state of Settlement Resources supporting the bank's activities. A Lien reserves capacity for an authorized purpose while an instruction remains outstanding.

A Facility gives the banking activity its purpose, participants, policies, commercial rules, and institutional responsibility. The public program remains the source of public authority.

A Settlement Envelope defines the evidence and conditions that must be satisfied before an instruction may proceed. Identity, approval, eligibility, limits, documents, signatures, beneficiary information, and other PVB-defined requirements belong here.

A Pay Code represents an authorized instruction in a form that can be communicated, presented, validated, and executed. It is a credential—not money, a public benefit, a deposit, a wallet balance, or the banking service itself.

The banking service is the product. The Pay Code is the credential.

Execution coordinates the progression from authorized instruction to the outcome defined by the Facility through PVB's approved execution capability. Provider and institutional references, status, exceptions, and evidence return to the operating record for reconciliation.

Custody would not move into x-change. The underlying funds would remain within the applicable government and PVB banking arrangements. Treasury provides an operational view; it does not replace the bank account, government accounting record, or general ledger.

Technical completion remains narrower than readiness. Validated integration may perform agreed behavior under tested conditions. PVB must still decide whether the complete service can be authorized, operated, supervised, secured, settled, reconciled, supported, and governed.

SECTION 5

# Banking in Action

EXECUTIVE QUESTION

**How could the Capability apply to public-finance services relevant to Philippine Veterans Bank?**

KEY MESSAGE

**One operating grammar can support different PVB services because purpose and policy may change while the responsibilities beneath them remain governed consistently.**

EXECUTIVE DECISION

**I can recognize how the operating model applies to a familiar ceremony and how the same foundation could support other services PVB may choose to govern through it.**

Bounded public-assistance disbursement provides the clearest explanatory ceremony because it makes the complete discipline visible within one familiar public responsibility. PVB has supported public-assistance arrangements, while the institution's current operating journey can be understood only with PVB.

The responsible public institution identifies the approved participants, funding authority, public purpose, evidence, and conditions. PVB confirms its banking authority, applies policy, recognizes the supporting resources, and accepts responsibility for the banking outcome.

Treasury recognizes the supporting Settlement Resources. A Lien reserves the required amount. The assistance Facility defines participants, limits, service rules, communication, and institutional responsibility. The Settlement Envelope records evidence and conditions. Once authorized, a Pay Code or other approved presentation permits the instruction to be communicated through an approved journey.

The participant presents the credential and satisfies the conditions. Execution coordinates the instruction through PVB's approved relationship. The financial movement occurs within PVB's regulated arrangements. x-change records the result, updates operational state, resolves the Lien, preserves evidence, and supports reconciliation and participant communication.

> The public institution authorized an outcome. Philippine Veterans Bank arranged its accountable execution.

PVB's institutional profile brings several other ceremonies into view:

| Banking service | PVB relevance | What remains governed |
|---|---|---|
| Bounded public assistance | Existing public-assistance experience and a potentially limited participant group | Funding, authority, eligibility, reservation, conditions, evidence, exceptions, reconciliation |
| Public collections | Bills payment, city-hall kiosk, provincial gateway, and public collection relationships | Payer reference, public obligation, matching, provider evidence, exceptions, reconciliation |
| Veterans' benefits | Statutory veterans purpose and pension relationships | Program authority, entitlement, identity, recurrence, evidence, unresolved outcomes |

| Banking service | PVB relevance | What remains governed |
|---|---|---|
| Government or military payroll | Payroll products and military relationships | Employer authority, personnel attribution, funding, release, exceptions, evidence, reconciliation |
| Treasury and GOCC services | Treasury capability and public-sector institutional relationships | Authority, accounts, financial state, conditions, execution, evidence, reconciliation |
| Procurement settlement | A possible public-finance ceremony reserved for later evidence | Contract authority, acceptance, payee, conditions, execution, records, reconciliation |

The table identifies the proposed sequence, not implementation approval. Bounded public assistance is the primary discovery candidate. Public collections follow as the secondary candidate. Veterans' benefits and government or military payroll remain strategic later candidates. Treasury and GOCC services remain for later evaluation. Procurement settlement remains deferred pending direct institutional evidence.

One ceremony makes the grammar visible. Many services make the foundation useful.

SECTION 6

# The Institutional Case

EXECUTIVE QUESTION

**What institutional case might Philippine Veterans Bank consider?**

KEY MESSAGE

**This Capability could deepen public and constituent relationships, preserve institutional choice, and lower repeated innovation cost while commercial value remains dependent on disciplined service selection and operation.**

EXECUTIVE DECISION

**I understand the institutional and commercial case and can decide whether it merits detailed evaluation under PVB's strategy and financial authority.**

A bank can hold an account while losing the practical center of an institutional relationship. Payroll may move elsewhere. Collections may pass through another provider. Benefit and assistance programs may be separated from deposits, support, and continuing service. The formal relationship can remain while the recurring financial activity moves away.

The reverse can also occur. Public assistance can demonstrate accountable reach. Collections can connect PVB to the rhythm of government services. Veterans' benefits can deepen a statutory relationship. Government or military payroll can connect institutions, personnel, deposits, and continuing banking needs. Treasury services can strengthen an institutional partnership.

PVB's banking proposition already touches many of these relationships. The institutional question is whether selected services can reinforce one another through repeated usefulness.

Over time, financial activity is more likely to return to an institution that remains useful across recurring needs.

This tendency is Transaction Gravity.

Transaction Gravity is not transaction volume alone and creates no entitlement to government selection or participant relevance. Authority, qualification, price, service, channels, support, evidence, and fair exception handling still determine whether institutions and participants return. Its value is relational: PVB becomes a more natural place for public purpose, deposits, payments, collections, benefits, obligations, and financial decisions to meet.

This Capability supports adaptability. Resilience allows PVB to continue through difficulty; adaptability allows it to assume new responsibilities through an established foundation. The institution cannot predict every service required over the next decade. It can preserve the ability to evaluate new services without rebuilding its operating foundation each time.

The commercial case remains disciplined. Costs may include licensing, institution-specific implementation and maintenance, bank infrastructure, managed operations, internal governance and operations, settlement-provider charges, security, reconciliation, and continuing support. Economic value may arise through

approved service income, deposits associated with actual program structures, stronger government and constituent relationships, reduced duplicated engineering, and the ability to introduce relevant services more efficiently. None is automatic.

Detailed economics require PVB information and separate commercial analysis. Prices, volumes, deposits, savings, public value, and returns should be assessed only after the institution has defined the service and supplied the evidence required to evaluate them.

The Board would be deciding more than whether to acquire software. It would be deciding whether PVB should establish a reusable operating foundation through which its authority, identity, and relationships may support more accountable public-finance services over time.

SECTION 7

# Launching the Program

EXECUTIVE QUESTION

**What would happen if Philippine Veterans Bank later authorized the Program?**

KEY MESSAGE

**A possible next step is institutional dialogue around one bounded public-assistance ceremony–not an immediate production decision.**

EXECUTIVE DECISION

**I understand the institutional journey and the questions PVB would need to resolve before authorizing implementation or controlled production.**

The appropriate first step is to understand the institution directly.

PVB would confirm the public purpose, responsible government entity, authority, participant basis, source and destination of funds, policies, approvals, evidence, channels, systems, accounting, reconciliation, support, exceptions, settlement arrangements, and institutional owners relevant to one candidate ceremony.

The bank would then validate whether bounded public assistance combines institutional importance, limited scope, operating familiarity, and readiness to learn. If it does not, PVB would return to the proposed candidate sequence rather than force selection.

The participant journey would be defined as part of the banking service, not as a separate design exercise. The ceremony would identify what the government entity authorizes, what PVB agrees to do, what evidence is required, how participants are informed, how exceptions are handled, and what completion means.

Integration discovery would examine PVB's approved interfaces, credentials, status models, controls, provider behavior, evidence, test environments, reconciliation responsibilities, and change processes. Only after this work could the feasibility and scope of PVB-specific integration be established.

If PVB later authorized implementation, technical validation would remain a technical gate. Operational readiness would remain a separate institutional gate. PVB personnel and the responsible public institution would need to validate authority, approvals, Funding Events, Treasury state, Liens, Facility rules, Settlement Envelope conditions, Pay Code presentation, execution, provider behavior, accounting, evidence, support, reconciliation, failure, delay, duplication, reversal, and uncertain outcomes as one public-finance operation.

Readiness is an institutional judgment. It exists only when PVB and the responsible public institution have sufficient evidence that the ceremony can be authorized, operated, supervised, secured, settled, reconciled, supported, evidenced, and governed under their respective authority.

No conclusion about implementation or readiness is presumed.

The immediate invitation is narrower: confirm whether the institutional question is relevant, determine whether bounded public assistance should test it first, and establish what PVB would need to know before considering any further decision.

The next step is a disciplined institutional dialogue: whether this Capability belongs within PVB's future, and whether one bounded public responsibility should test that judgment first.

INSTITUTIONAL REFERENCE

# Annexes

The annexes preserve the operating, governance, and Treasury distinctions required to evaluate the Program. They provide institutional reference without becoming an implementation specification.

- Annex A — Canonical Operating Model
- Annex B — Banking Ceremonies
- Annex C — Institution Integration Architecture
- Annex D — Governance Principles
- Annex E — Treasury and Settlement Grammar
- Annex F — Institutional Readiness Framework
- Annex G — Glossary
- Annex H — Applying This Program Guide to PVB

ANNEX A

# Canonical Operating Model

The operating model separates public authority, the PVB banking service, the governed public-finance ceremony, institution-specific integration, and regulated financial movement.

```
Responsible Government Entity
↓
PVB Products and Channels
↓
PVB Depository Banking Service
↓
x-change
↓
PVB-Specific Integration
↓
PVB-Approved Execution Capability
↓
PVB-Governed Settlement or Payment Arrangement
↓
Applicable Approved Rail, Provider, or Internal Capability
```

This model is conceptual. It describes institutional responsibilities and integration boundaries, not a production topology.

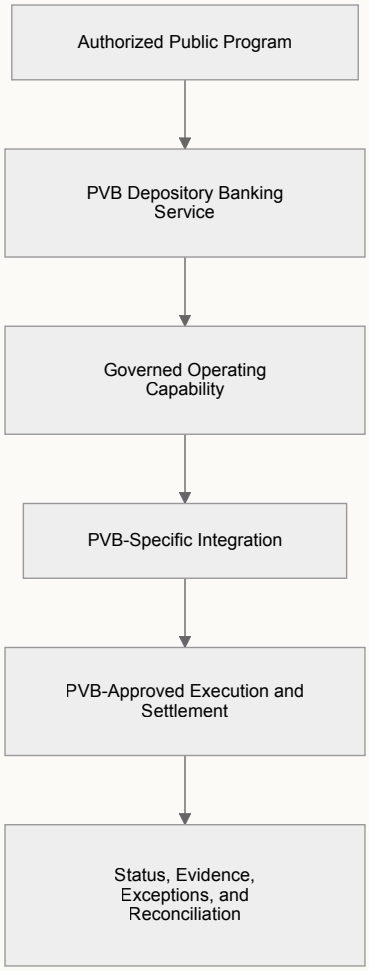



FIGURE 1 **Canonical operating model**

The responsible government entity defines or administers public purpose, lawful authority, participant basis, funding authority, approvals, conditions, reporting, and public accountability.

PVB products and channels initiate, present, or report banking activity. They may include branches, retail and institutional digital banking, cards, kiosks, gateways, partner journeys, and approved interfaces.

The PVB banking service defines the banking outcome, participants, terms, policy, commercial meaning, service responsibility, and participant treatment. The banking service remains the product.

x-change coordinates the governed ceremony: recognized resources, purpose, authority, conditions, credential, execution, evidence, exceptions, and reconciliation.

PVB-specific integration connects the operating grammar to the institution's approved authentication, instruction, reference, status, exception, reversal, security, provider, evidence, and reconciliation behavior. Its engineering boundary is described in Annex C.

PVB-approved execution interfaces and governed settlement or payment arrangements remain under PVB and provider authority. Financial movement occurs through the bank's regulated relationships. The software neither creates settlement access nor assumes custody.

The model preserves four boundaries:

1. The government entity retains public authority and accountability.

2. PVB defines and owns the banking service.
3. The operating grammar coordinates the service without replacing institutional authority.
4. Execution reaches approved financial infrastructure only through PVB-governed integration.

## Common software does not create a common bank.

PVB retains its own policies, environment, data, credentials, government and customer relationships, settlement relationships, production decisions, and audit trail.

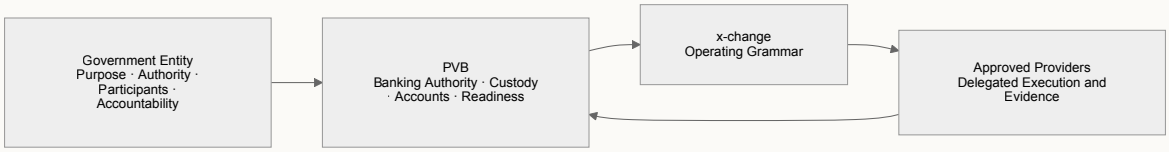



FIGURE 2 **Program participants**

ANNEX B

# Banking Ceremonies

A governed public-finance ceremony is the complete progression through which authorized public purpose becomes executable, evidenced, and reconciled banking activity. The ceremonies below illustrate how one operating grammar can support different institutional purposes. They do not establish implementation approval or production scope.

## BOUNDED PUBLIC-ASSISTANCE DISBURSEMENT

The responsible public institution identifies the approved participants, funding authority, public purpose, evidence, and conditions. PVB confirms its banking authority, applies policy, recognizes the supporting resources, and accepts responsibility for the banking outcome.

Treasury recognizes the Settlement Resources and reserves the required capacity. The assistance Facility defines participants, limits, service rules, communication, and institutional responsibility. Settlement Envelopes establish evidence and conditions. A Pay Code or other approved presentation communicates the authorized instruction. Execution proceeds through PVB's approved capability, while the resulting institutional and provider evidence supports participant communication, exception handling, and reconciliation.

Bounded public assistance is the primary discovery candidate because it can make the complete discipline visible within a limited public responsibility. Its suitability, authority, economics, and readiness would still need to be confirmed with PVB and the responsible public institution.

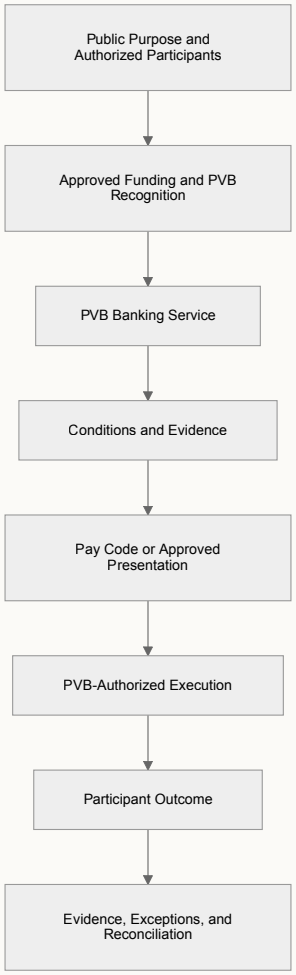



FIGURE 3 **Bounded public-assistance ceremony**

## PUBLIC COLLECTIONS

A payer submits funds for a defined public obligation. PVB captures the payer, public institution, purpose, reference, amount, channel, and applicable conditions. The collections Facility defines matching and exception rules. The Settlement Envelope preserves required evidence. Execution coordinates the approved financial outcome. The completed record supports attribution, posting, exception resolution, public reporting, and reconciliation.

The ceremony connects financial movement with institutional meaning. A successful transfer without reliable attribution may still leave the collection unresolved. Public collections follow as the secondary discovery candidate.

## VETERANS' BENEFITS

An authorized veterans' benefit connects a responsible public institution, an eligible participant, approved funding, continuing conditions, and PVB's statutory constituency. The Facility defines the banking service and participant treatment. Settlement Envelopes carry entitlement, identity, approval, and other required evidence. Treasury recognizes and reserves the supporting resources. Execution proceeds through PVB's approved capability, and the operating record preserves recurring status, exceptions, evidence, and reconciliation.

The ceremony does not create benefit authority or eligibility. Veterans' benefits remain a strategic later candidate whose current program basis and operating journey require direct institutional confirmation.

### GOVERNMENT OR MILITARY PAYROLL

A government or military employer submits an authorized payroll instruction and provides or identifies the supporting funds. PVB validates authority, timing, personnel attribution, limits, exceptions, and required evidence. Treasury recognizes and reserves the Settlement Resources. The payroll Facility defines the banking service. Settlement Envelopes establish the conditions for release. Execution proceeds through PVB's approved capability, and the resulting evidence supports reporting, exception handling, and reconciliation.

Payroll may connect public employers, personnel, deposits, payments, and continuing banking relationships. It remains a strategic later candidate rather than an assumed first service.

### TREASURY AND GOCC SERVICES

An approved Treasury or GOCC obligation may require recognized resources, authorized release, institutional references, conditions, execution, and evidence. The Facility defines PVB's banking responsibility. Treasury maintains the operational financial state. Settlement Envelopes carry approvals and conditions. Execution proceeds through the approved arrangement, with resulting records returned for accounting, exception handling, and reconciliation.

These services remain for later evaluation. Their value and feasibility depend on the applicable authority, accounts, institutional role, controls, providers, and service design.

### PROCUREMENT SETTLEMENT

An approved procurement obligation may connect contract authority, acceptance evidence, a supplier or other authorized payee, payment conditions, execution, records, and reconciliation. The ceremony would not replace procurement authority, acceptance, legal review, accounting, or audit.

Procurement settlement remains deferred pending direct institutional evidence. Deferral preserves the ceremony without presenting it as a current PVB priority.

Across these ceremonies, purpose and policy change. The responsibilities remain recognizable: funds, authority, conditions, credential where required, execution, evidence, exception handling, and reconciliation.

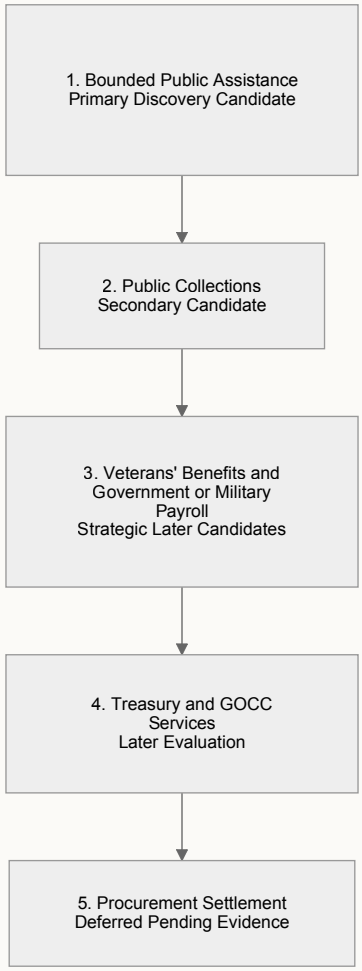



FIGURE 4 **Candidate ceremony sequence**

ANNEX C

# Institution Integration Architecture

Institution-specific integration connects the common operating grammar to PVB's approved execution behavior.

```
x-change
↓
PVB-Specific Integration
↓
PVB-Approved Execution Interfaces and Capabilities
↓
PVB-Governed Settlement or Payment Arrangements
```

The integration adapts technology. It does not provide public authority, banking authority, settlement participation, custody, product definition, policy, or production approval. The government entity brings lawful purpose and instruction. PVB brings banking authority and the approved rails. x-change brings the operating grammar. Institution-specific integration connects them.

No production integration is assumed to exist. Institution-specific engineering would require:

1. Institutional discovery — establish the approved systems, interfaces, environments, settlement arrangements, credentials, controls, owners, evidence, and reconciliation responsibilities relevant to the selected ceremony.
2. Interface mapping — map the common execution behavior to PVB-approved authentication, requests, responses, references, idempotency, statuses, notifications, limits, exceptions, reversals, and provider behavior.
3. Implementation — create the maintained integration within approved architecture, security, testing, release, and documentation practices.
4. Technical validation — demonstrate agreed behavior under controlled conditions, including success, failure, delay, duplication, uncertain status, and recovery paths.
5. Continuing maintenance — manage interface changes, credentials, security updates, provider changes, test evidence, observability, defects, releases, and compatibility.

The integration should preserve provider-specific detail at the institutional boundary while returning the references, status, evidence, and exceptions required by the complete public-finance ceremony. PVB would own or control its approved environment, institutional data, credentials, provider accounts, releases, records, and audit trail, and would retain or establish its direct approved settlement and payment relationships. An approved service provider may perform delegated work within PVB's environment and authority; delegation does not transfer institutional ownership or production decisions. Common provider use would not create shared software tenancy, pooled funds, shared credentials, or shared authority.

Technical validation is necessary where the integration is used, but it is not operational readiness. PVB must still judge whether the complete service can be authorized, operated, supervised, secured, settled, reconciled, supported, evidenced, and governed.

ANNEX D

# Governance Principles

Governance follows institutional responsibility. No provider approval substitutes for public authority or PVB approval.

| Participant | Principal responsibility | Institutional boundary |
|---|---|---|
| Responsible government entity | Defines or administers public purpose, authority, participant basis, funding authority, approvals, conditions, reporting, and public accountability | Public authority does not transfer to the bank or a technology provider |
| PVB Board of Directors | Approves institutional purpose, risk appetite, scope, accountability, and material progression | Fiduciary responsibility is not delegated to a provider |
| President, CEO, and Management | Own Program sponsorship, resources, accountability, and management decisions | Board consideration does not constitute production readiness |
| Business and Public Sector Banking | Define the banking service, institutional relationship, policy, terms, participant treatment, and economic case | Technical credentials do not carry public or commercial meaning |
| Operations | Define supervision, support, escalation, exception handling, evidence, and reconciliation practice | Technical completion is not an operating decision |
| Treasury | Governs the operational view of Settlement Resources, reservations, and unresolved obligations | Software state does not replace accounts or determine legal fund character |
| Technology | Governs architecture, integration, environments, identity, observability, resilience, service management, and release | External engineering extends rather than displaces institutional capability |
| Risk and Compliance | Review risks, controls, obligations, monitoring, and participant treatment within authority | Accountability does not transfer to validation artifacts |
| Legal and Privacy | Review agreements, authority, program terms, data treatment, and legal characterization | This Guide is not a legal agreement or opinion |
| Information Security | Governs access, credentials, testing, monitoring, incident response, and change | Production secrets remain under approved institutional control |
| Finance and Accounting | Define accounting, financial reporting, provider-charge treatment, and reconciliation requirements | Commercial estimates require separate financial approval |
| Internal Audit | Provides independent assurance according to its mandate | Internal Audit does not become an implementation owner |
| ODTI | Licenses and maintains x-change, supported components, documentation, and agreed validation capability | ODTI does not provide public authority, banking authority, custody, settlement access, or production approval |
| DevOps or managed-service provider | Performs delegated provisioning, deployment, monitoring, backup, recovery, release support, and incident work | The provider does not own PVB's environment, data, credentials, relationships, or release authority |
| Settlement institution or payment provider | Performs supported financial movement and provides records under its agreement with PVB | The provider does not define the public program or complete banking ceremony |

The principal decision gates are:

1. Program authorization — the Board or delegated authority permits Management to evaluate the Program.
2. Public authority and service definition — the responsible institutions confirm the public purpose, authority, participant basis, and first banking ceremony.
3. Architecture and security approval — responsible functions approve the intended environment and integration boundary.
4. Technical validation — agreed institution-specific behavior is evidenced under controlled conditions.

5. Operational readiness — PVB and the responsible public institution judge the complete ceremony ready for bounded production.
6. Controlled-production decision — the responsible authorities approve a limited live scope.
7. Evidence review — the institutions decide to Proceed, Correct, Extend, or Pause.

This model preserves operating sovereignty. PVB retains control over banking authority, relationships, policy, infrastructure, data, credentials, production decisions, settlement relationships, and its institutional audit trail.

PVB's approved banking, accounting, customer, government, and settlement systems remain institutional systems of record. x-change coordinates the governed ceremony and preserves its operating evidence; it does not replace those systems or redefine their authority.

ANNEX E

# Treasury and Settlement Grammar

Treasury provides the operational financial-state grammar supporting a governed public-finance ceremony.

## CANONICAL PROGRESSION

```
External Financial Event
↓
Funding Event
↓
Settlement Resources Recognized by Treasury
↓
Lien Reserves Resources for an Authorized Purpose
↓
Facility Gives the Activity Banking and Commercial Meaning
↓
Settlement Envelope Establishes Evidence and Conditions
↓
Pay Code Represents the Authorized Instruction
↓
Execution Coordinates the Approved Outcome
↓
Evidence, State Resolution, and Reconciliation
```

## GOVERNING DISTINCTIONS

- A Funding Event records an external event; it does not manufacture funds or public authority.
- Treasury represents operational state; it is not the bank account, public accounting record, or general ledger.
- Settlement Resources remain subject to their actual custody, ownership, legal character, and institutional controls.
- A Lien reserves capacity; it does not transfer custody.
- A Facility carries banking and commercial meaning; the public program remains the source of public authority.
- A Settlement Envelope carries conditions and evidence; it does not perform settlement.
- A Pay Code is a credential; it is not money, a public benefit, a deposit, stored value, or the service itself.
- Execution coordinates the authorized outcome through PVB's approved capability.
- Reconciliation compares operating state with PVB, public-institution, and provider evidence and resolves differences through approved procedures.

The underlying funds remain within the applicable government and PVB regulated arrangements throughout. Treasury gives the ceremony an operational view of what is recognized, reserved, available, outstanding, or unresolved. It neither assumes custody nor changes the legal character of funds.

Commercial meaning belongs to the Facility. The Facility identifies why the activity exists, who participates, what rules and limits apply, and what responsibility PVB accepts. The Settlement Envelope then establishes what must be true before the instruction proceeds. This separation allows evidence and conditions to evolve without confusing them with the banking product or public program.

Execution completes neither the institutional record nor PVB's responsibility by itself. Provider references, statuses, exceptions, and evidence must return to the operating record. Treasury state, Liens, accounting, participant communication, exception handling, and reconciliation must then be resolved according to approved procedures.




FIGURE 5 **Treasury and settlement grammar**

ANNEX F

# Institutional Readiness Framework

Readiness is PVB's judgment, together with the responsible public authority where applicable, that sufficient evidence exists to authorize, operate, supervise, secure, settle, reconcile, support, evidence, and govern a public-finance ceremony.

The judgment should address the complete institutional setting, not only software behavior.

| Readiness dimension | Evidence required before bounded production |
|---|---|
| Public and institutional governance | Approved purpose, authority, accountable owners, decision rights, escalation, controlled-production authority, and review criteria |
| Banking service | Defined outcome, participants, policy, terms, limits, channels, communications, and fair treatment |
| Operations | Documented initiation, approval, supervision, support, exceptions, recovery, evidence, reconciliation, and end-of-day responsibilities |
| Treasury and settlement | Confirmed Funding Events, Settlement Resources, Liens, accounts, limits, liquidity, references, statuses, unresolved-state treatment, and settlement responsibilities |
| Risk, Compliance, Legal, and Privacy | Reviewed public authority, regulatory obligations, risks, controls, participant terms, agreements, data treatment, and legal characterization |
| Technology and architecture | Approved environments, interfaces, identities, observability, capacity, resilience, backup, recovery, service management, and change processes |
| Information security | Approved access, credentials, certificates, secrets, testing, monitoring, incident response, vulnerability management, and production controls |
| Finance and accounting | Defined entries, fees, provider charges, reporting, reconciliation, exception treatment, and financial-control ownership |
| Participant experience | Tested initiation, evidence gathering, disclosures, status communication, assistance, failure treatment, and completion experience |
| People and providers | Trained personnel, operating procedures, support coverage, provider obligations, service levels, escalation paths, and continuity arrangements |
| Evidence and assurance | Test results, technical validation, operating rehearsals, control evidence, unresolved findings, approvals, and independent review where required |

Technical validation demonstrates that PVB-specific integration performs agreed behavior under tested conditions. It does not decide whether the public program is authorized, the banking service is suitable, policy is approved, personnel are prepared, settlement is sufficient, accounting is correct, participants can be supported, or exceptions can be governed.

Operational readiness therefore follows technical validation; it is not produced by technical validation. PVB and the responsible public institution may authorize bounded production only when responsible functions have evaluated the complete ceremony and accepted the operating conditions.

Evidence should be reviewed through the institutional choices Proceed, Correct, Extend, or Pause. A successful technical transaction is evidence within that review, not the review itself.




**FIGURE 6** **Institutional readiness progression**

No arrow makes the next state automatic. Each transition requires the authority and evidence appropriate to the responsibility being considered.

ANNEX G

# Glossary

These definitions apply to this Program and remain subordinate to the governing x-change and Government Depository grammar.

Capability — The enduring, maintained operating foundation established through the Program. It allows PVB to turn properly authorized public-finance instructions into governed banking activity.

Program — The institution-specific initiative through which PVB would evaluate, establish, govern, and introduce the Capability.

Funding Event — The record of an external financial event through which Settlement Resources enter or become recognized by Treasury. It records recognition; it does not create the underlying value.

Treasury — The operational view of Settlement Resources supporting PVB's activities, including what is recognized, reserved, available, outstanding, or unresolved. It is not the bank account, government accounting record, or general ledger.

Settlement Resources — The resources recognized by Treasury as supporting an activity. Their custody and legal character remain within the applicable government and PVB banking arrangements.

Lien — An operational reservation of Settlement Resources for an authorized purpose while an instruction remains outstanding.

Facility — The governed definition of a banking service. It carries purpose, participants, policies, commercial rules, limits, and institutional responsibility. The public program remains the source of public authority.

Settlement Envelope — The evidence and conditions that must be satisfied before an instruction may proceed.

Pay Code — A credential representing an authorized instruction in a form that can be communicated, presented, validated, and executed. It is not money, a public benefit, a deposit, stored value, or the banking service.

Execution — The coordination of an authorized instruction toward the banking outcome defined by the Facility through PVB's approved execution capability.

Institution-specific integration — The maintained connection between the common operating grammar and PVB's approved systems, interfaces, providers, evidence, and settlement arrangements.

Governed public-finance ceremony — The complete progression from public purpose and recognized resources through banking policy, authority, conditions, execution, evidence, exception handling, and reconciliation.

Readiness — PVB's institutional judgment, together with the responsible public authority where applicable, that sufficient evidence exists to authorize, operate, supervise, secure, settle, reconcile, support, evidence, and govern a ceremony.

Technical validation — Evidence that institution-specific integration performs agreed technical behavior under tested conditions. Technical validation is not operational readiness.

Transaction Gravity — The tendency for financial activity to return to an institution that remains useful across recurring institutional and participant needs.

Operating sovereignty — PVB's continuing control over its banking authority, government and customer relationships, policies, infrastructure, data, credentials, production decisions, settlement relationships, and institutional audit trail.

Bounded public-assistance disbursement — The primary discovery candidate: a public-assistance ceremony limited by defined authority, participant group, value, geography, duration, channel, or another approved boundary. It is not a production selection.

ANNEX H

# Applying This Program Guide to PVB

This paper was prepared for an institution that already possesses commercial-bank authority, a statutory veterans purpose, official government-depository status, established public and constituent relationships, digital channels, payment participation, Treasury capability, and broad banking activities. That profile informed the institutional examples without presuming adoption or production readiness.

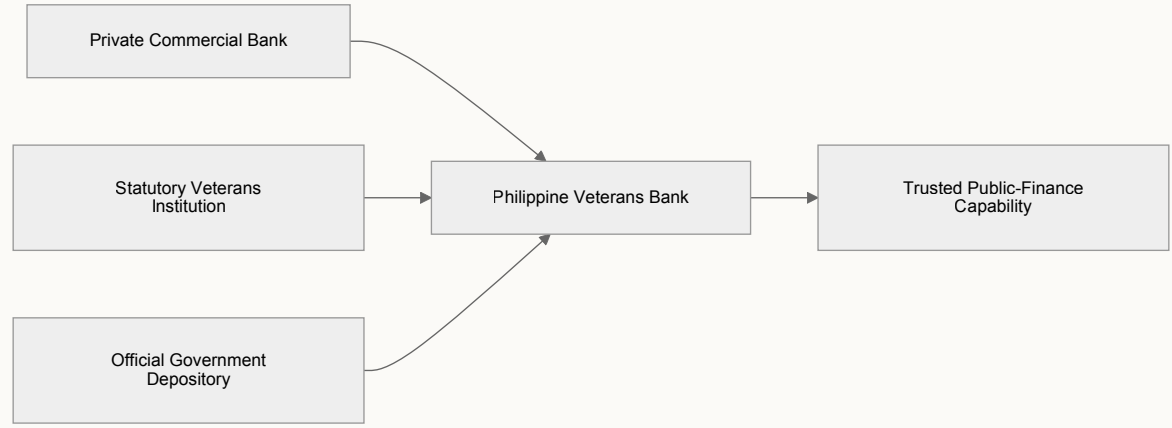



FIGURE 7 **Philippine Veterans Bank institutional identity**

The proposed ceremony sequence is intentionally controlled. Bounded public assistance is the primary discovery candidate. Public collections follow as the secondary candidate. Veterans' benefits and government or military payroll remain strategic later candidates. Treasury and GOCC services remain for later evaluation. Procurement settlement remains deferred pending direct institutional evidence.

The Guide identifies where one governed operating capability may align with those responsibilities. It preserves the boundaries between public authority and PVB's banking service, custody and operational Treasury state, approved execution and supporting integration, and technical validation and institutional readiness. It does not assert PVB's current operating methods, recommend a production design, establish commercial terms, guarantee deposits or government selection, or conclude that the institution is ready to proceed.

## Economic Evaluation

The Commercial Waterfall evaluates an approved public-finance service by considering authorized fees, deposits, activity, and public value against public-program and provider obligations; PVB operating, governance, and control costs; and licensing, integration, infrastructure, support, and maintenance. The residual must support dependable operation while preserving clear accountability for who authorizes, performs, earns, pays, bears risk, and remains answerable for the outcome. Detailed economics require PVB information and separate commercial analysis.

## Immediate Invitation

The immediate invitation authorizes nothing beyond institutional dialogue and, if PVB chooses, formal evaluation. It does not authorize procurement, implementation, a public program, system access, settlement activity, or production. If bounded public assistance is not suitable, PVB would return to the proposed candidate sequence rather than force selection.

The result is a basis for executive dialogue: whether this capability belongs within PVB's future, whether bounded public assistance should test that judgment first, and what evidence PVB would require before considering any further decision.